

Table 65.9 Busted Patterns

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Busted patterns count	203 or 28%	36 or 23%	276 or 42%	48 or 22%
Single bust count	91 or 45%	27 or 75%	196 or 71%	35 or 73%
Double bust count	66 or 33%	5 or 14%	13 or 5%	0 or 0%
Triple+ bust count	46 or 23%	4 or 11%	67 or 24%	13 or 27%
Performance for all busted patterns	−14%	−20%	40%	26%
Single busted performance	−26%	−25%	54%	33%
Non-busted performance	−15%	−21%	38%	30%

Busted occurrence. I sorted the busted patterns into how often they busted (single, double, or more than twice). Single busts happen most often, as one would expect. The second-place finish depends on the column, though.

Busted and non-busted performance. The bottom three rows in the table are my attempt to show how well busted patterns compare to the performance of their non-busted siblings.

If you can tell that a pattern will single bust, then it'll outperform the other two rows on average. You might give busted downward breakouts in bull markets a try. If the stock single busts (71% do), the average rise is 54%.

Trading Tactics

Table 65.10 shows trading tactics.